

ORIGINAL

(S E R V E D)
(JANUARY 28, 1991)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

January 28, 1991

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

PROCEDURAL ORDER

MOTION TO QUASH SUBPOENA DENIED

At the instance of the Complainant, the Government of the Territory of Guam, a subpoena dated January 9, 1991, regularly made and duly ordered, required the Director of Operations for California Cartage Company Inc., a non-party, to appear for a deposition and to produce certain business documents of California Cartage. The deposition and production of documents is to take place on January 31, 1991.

1 On January 23, 1991, counsel for California Cartage and its Director of Operations filed a Motion to Quash Subpoena Duces Tecum Addressed to Charles Slayman and California Cartage Company Inc. The Motion seeks relief on the grounds that:

- (1) The subpoena is overbroad and burdensome.
- (2) The subpoena requires disclosure of "highly sensitive confidential business information that Cal Cartage does not wish to disclose to anyone."
- (3) The subpoena requires "Cal Cartage to disclose the confidential business information of its valued customers . . . without their permission."
- (4) It appears "that most of all of the information requested pertains to matters that are either; (i) under the exclusive initial jurisdiction of the Interstate Commerce Commission, and not the Federal Maritime Commission; and/or (ii) not reasonably relevant to any issue raised in this proceeding.

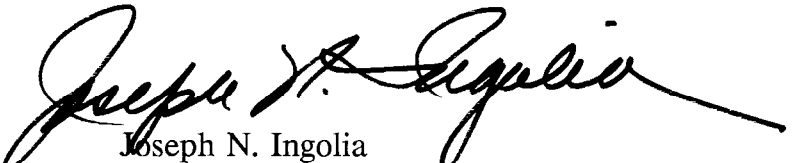
On January 25, 1991, the Complainant filed its Reply in Opposition to the Motion to Quash. It denies that the subpoena is overly broad and burdensome, and asserts that such a claim is legally insufficient because it is a general allegation, unsupported with any specificity. The Complainant also argues that the Motion to Dismiss cannot be sustained on the basis that the information sought is confidential and proprietary in nature and that it should not be disclosed without the permission of Cal Cartage customers. It notes that a protective order of confidentiality has been entered in this proceeding. Finally, with respect to jurisdiction, the Complainant states that, "A claim that subject matter jurisdiction does not exist is entirely irrelevant to the issue to be considered in a challenge to an administrative procedure--whether the subpoena is validly issued."

Given the complexity of the proceeding and the fact that the subpoena was to be satisfied by January 31, 1991, the undersigned telephoned counsel for the Complainant and Cal Cartage and Charles Slayman on Friday, January 25, 1991, in an attempt to clarify the

exact nature of the problems raised. He offered to be present in either Washington, D.C., or San Francisco, California, when the subpoena was satisfied so as to direct and rule on the inquiries made in the light of the issues involved in the proceeding. Counsel noted that they had not met regarding the scope and nature of the discovery and that they would discuss it and orally report back to me. On Monday morning, January 28, 1991, counsel for the Complainant (Mr. Israel) reported that the deposition and discovery would take place in San Francisco on January 31, 1991, and that counsel had been discussing certain ground rules. He also indicated that, despite the above, counsel for Cal Cartage and Charles Slayman did not intend to withdraw the Motion to Quash, hence it becomes necessary to rule.

The undersigned agrees with and hereby adopts the position and arguments made by the Complainant in its Reply in Opposition to the Motion to Dismiss. Wherefore, it is,

ORDERED, that the Motion to Quash Subpoena Duces Tecum Addressed to Charles Slayman and California Cartage Company Inc. is hereby denied, and movants are directed to appear in answer to the subpoena to be deposed and to supply the documents requested.


Joseph N. Ingolia
Administrative Law Judge